COURSE

Pearson Edexcel Level 3 Advanced GCE in Business (9BS0)

Cash-flow forecast

Theme 2: Managing business activities · 2.3 Managing finance · 2.3.2 Liquidity: cash-flow forecasts

Revision for Theme 2: Managing business activities: each firm works it out on its own deals.

Class	Topic
Pearson Edexcel A level Business (9BS0)	**Cash-flow forecast**

THE LESSON

Setup	2 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Net cash flow today**	TASK 2 **Why cash is short**	

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 3 **Cash timing order**	TASK 4 **Month-end balance**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 5 **Credit or overdraft**	TASK 6 **Bank covers the gap**	**B2B deal**

Final questions	3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

They pay a deposit today.

Net cash flow today? Money out is minus.

WORK OUT THE NUMBER · EXAMPLE FIGURES

You buy them today	**£34,400**
Customer's price	**£39,700**
Customer pays today	**10%**

METHOD

Net cash flow = % paid today × price − you buy them

10% × £39,700 = £3,970; £3,970 − £34,400 = −£30,430

Why: The deposit covers only £3,970 of the £34,400 you pay today.

Task 2

ROUND 1

Profit is high, but the bank says you are over your overdraft limit.

Which two best explain the cash shortage?

PICK TWO

- ✔ **Customers are slow to pay**
- ○ Gross profit margin has fallen
- ○ More buyers pay by card
- ○ Suppliers give 60 days to pay
- ✔ **Too much cash tied up in stock**

Why: Slow payers and stock hold cash back; card sales and supplier credit help.

Task 3

ROUND 2

Cars wait 20 days before sale. Supplier paid 30 days after delivery; customer 60 days after sale.

Put these in time order, first to last?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **The cars arrive**
2. **The cars are sold**
3. **You pay the supplier**
4. **The customer pays you**

Why: Day 0 arrive, day 20 sold, day 30 supplier paid, day 80 paid: a 50-day gap.

Task 4

ROUND 2

They pay half in month 2.

Balance at the end of month 2?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Set aside for this deal	**£15,900**
Month 1: you buy the cars	**£51,150**
Running costs, each month	**£780**
Customer's price	**£62,000**

METHOD

Balance = set aside – you buy the cars – 2 × running costs + half the price

£15,900 − £51,150 − 2 × £780 + £31,000 = −£5,810

Why: Month 2 is still short: the other half comes in month 3.

Task 5

ROUND 3

£40,000 of stock: pay now on a 12% a year overdraft, or take 60 days' supplier credit at 3% more?

Which is cheaper, and why?

PICK A OR B AND GIVE A REASON

- ✔ **The overdraft**
- ○ The supplier's credit

Why: 12% a year for 60 of 365 days is about £790; 3% of £40,000 is £1,200.

Task 6

ROUND 3

The bank covers the gap.

Balance at the end of month 2?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Set aside for this deal	**£16,400**
Month 1: you buy the cars	**£42,000**
Charge on month 1 overdraft	**2%**
Month 2: customer pays	**£52,050**

METHOD

Balance = set aside − cars − overdraft charge + customer pays

Month 1: −£25,600; charge 2% × £25,600 = £512; −£25,600 − £512 + £52,050 = £25,938

Why: Waiting for the customer cost £512 in bank charges.

Final questions

6
questions for each pupil

109
Level 3 Business questions

8
of them on cash-flow forecast

The game draws 6 questions on this topic.

1 A dealership expects £180,000 cash inflows, £215,000 cash outflows and an opening cash balance of £50,000 next month. What is the forecast closing cash balance?
£15,000.

2 A dealership starts April with £28,000 cash, expects £92,000 of cash receipts and £108,000 of cash payments. What closing balance should its forecast show?
£12,000.

3 A dealer buys £70,000 of stock on 30-day trade credit and sells it for cash after 12 days. What is the main short-term cash-flow benefit?
Cash is received before the supplier payment falls due.

4 A workshop forecasts opening cash of £22,000, receipts of £64,000 and unavoidable payments of £91,000 this week. What is the forecast cash shortfall?
£5,000.

5 A flood destroys uninsured stock while supplier invoices remain due. Which statement best explains the immediate finance problem?
The stock is lost, but the debt remains.

6 A dealer starts a campaign month with £40,000 cash, expects £85,000 receipts and £96,000 operating payments, plus £18,000 campaign spend. What is forecast closing cash?
£11,000.

7 The CFO forecasts opening cash of £65,000, receipts of £140,000, supplier payments of £118,000 and payroll of £52,000. What is closing cash?
£35,000.

Final questions

8 A dealer opens the month with £52,000, expects receipts of £88,000 and payments of £119,000. What is the closing balance?
£21,000.